APPRAISAL REPORT

Magnolia Market Lofts | Buffalo, NY

Subject Property	Magnolia Market Lofts
Address	4023 Peachtree Avenue, Buffalo, NY 80498
Property Rights Appraised	Fee Simple
Effective Date of Value	August 2, 2020
Market Value Conclusion	$150,000,000

Supply and Demand

Employment growth is led by healthcare, logistics, education and professional services sectors. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 17 structured parking spaces shared between uses. The Buffalo Mixed-Use market has experienced absorption of 3100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

The property is walkable to transit, with 8 structured parking spaces shared between uses. Median household income within a 3-mile radius of the property is approximately $435,000 and has grown 8.1% annually. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The Buffalo Mixed-Use market has experienced absorption of 300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Site Description

The site contains approximately 22.22 acres and is generally level with frontage along Peachtree Avenue. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 16 curb cuts and the property is served by municipal water and sanitary sewer.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 28 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Demographics and Employment

Employment growth is led by healthcare, logistics, education and professional services sectors. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 40 structured parking spaces shared between uses. Market vacancy for comparable Mixed-Use product stands at 10.5%, down from 5.0% two years ago. Median household income within a 5-mile radius of the property is approximately $78,000 and has grown 10.8% annually.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The Buffalo Mixed-Use market has experienced absorption of 1500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 5.5% annually over the past 3 years.

Topography and Flood Zone

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 5.5 acres and is generally level with frontage along Peachtree Avenue.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 21.21 acres and is generally level with frontage along Peachtree Avenue. Access to the site is provided by 27 curb cuts and the property is served by municipal water and sanitary sewer.

Demographics and Employment

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Market Overview

Employment growth is led by healthcare, logistics, education and professional services sectors. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Median household income within a 5-mile radius of the property is approximately $390,000 and has grown 8.6% annually. Magnolia Market Lofts is located in Buffalo, NY, a market that has recorded 11.5% population growth over the last five years. Rent growth in the submarket has averaged 6.8% annually over the past 7 years.

Employment growth is led by healthcare, logistics, education and professional services sectors. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Median household income within a 5-mile radius of the property is approximately $165,000 and has grown 6.0% annually. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 5 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 45 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 23.23 acres and is generally level with frontage along Peachtree Avenue. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

The site contains approximately 38.38 acres and is generally level with frontage along Peachtree Avenue. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Magnolia Market Lofts is located in Buffalo, NY, a market that has recorded 3.2% population growth over the last five years. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. Magnolia Market Lofts is located in Buffalo, NY, a market that has recorded 5.5% population growth over the last five years. Market vacancy for comparable Mixed-Use product stands at 11.7%, down from 6.2% two years ago.

Access and Utilities

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 20.20 acres and is generally level with frontage along Peachtree Avenue. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 19 curb cuts and the property is served by municipal water and sanitary sewer.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 6.6 acres and is generally level with frontage along Peachtree Avenue. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Market Overview

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 20 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The Buffalo Mixed-Use market has experienced absorption of 2000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

The property is walkable to transit, with 32 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Magnolia Market Lofts is located in Buffalo, NY, a market that has recorded 3.3% population growth over the last five years. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 5.21% and 5.21%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Site Description

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Construction Details

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 4-year membrane system with an estimated remaining useful life of 7 years. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The roof is a 2-year membrane system with an estimated remaining useful life of 5 years. Magnolia Market Lofts was originally constructed in 1998 and consists of 400,000 SF in a building of 10 stories.

Improvements Description

Common area interiors have been refreshed within the last 9 years and are in average to good condition. The property is walkable to transit, with 4 structured parking spaces shared between uses. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 5-year membrane system with an estimated remaining useful life of 12 years.

Common area interiors have been refreshed within the last 10 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 16-year membrane system with an estimated remaining useful life of 9 years. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Magnolia Market Lofts was originally constructed in 1998 and consists of 400,000 SF in a building of 26 stories.

Improvements Description

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 6-year membrane system with an estimated remaining useful life of 7 years. Magnolia Market Lofts was originally constructed in 1998 and consists of 400,000 SF in a building of 13 stories. Mechanical systems include rooftop package units and central plant equipment of varying age.

Mechanical systems include rooftop package units and central plant equipment of varying age. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 48 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Magnolia Market Lofts was originally constructed in 1998 and consists of 400,000 SF in a building of 9 stories.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Sable Mixed-Use Center	Kansas City, MO	11/17/2024	4	$191,014,530	$478	6.74%	2009
Thornton Station District	Nashville, TN	10/08/2023	4	$69,496,207	$174	6.06%	1973
Highland Market Lofts	Memphis, TN	02/21/2022	5	$117,579,927	$294	7.80%	2003
Cobalt Mixed-Use Center	Jacksonville, FL	09/10/2023	4	$158,747,072	$397	8.01%	1993
Gatewood Mixed-Use Center	Savannah, GA	03/12/2026	5	$206,014,070	$515	6.95%	1989
Laurel Mixed-Use Center	Detroit, MI	08/10/2025	4	$137,745,910	$344	6.06%	1972
Canyon Market Lofts	Madison, WI	11/14/2025	5	$95,615,376	$239	8.13%	2014
Stonebridge Market Lofts	Phoenix, AZ	04/19/2023	5	$149,504,833	$374	6.94%	2007
Vista Village	Boise, ID	06/20/2023	4	$112,865,695	$282	7.99%	2003
Magnolia Station District	Columbus, OH	11/24/2024	5	$166,811,174	$417	6.39%	1975
Marlow Village	Phoenix, AZ	05/20/2026	4	$102,633,594	$257	6.97%	1978
Keystone Station District	Dallas, TX	09/26/2025	4	$87,405,504	$219	5.63%	2004
Willow Station District	Boise, ID	12/05/2025	5	$186,509,820	$466	6.39%	1996
Quincy Village	Norfolk, VA	10/31/2024	4	$182,405,804	$456	8.18%	2020
Whitaker Mixed-Use Center	Philadelphia, PA	03/05/2025	6	$177,477,198	$444	6.60%	2016
Birchwood Mixed-Use Center	Tempe, AZ	03/05/2024	4	$121,407,574	$304	5.41%	1980
Lockwood Station District	Des Moines, IA	01/18/2026	5	$61,227,640	$153	6.06%	2020
Prairie Mixed-Use Center	Orlando, FL	08/18/2022	4	$171,373,541	$428	5.03%	1993
Sterling Market Lofts	Des Moines, IA	02/07/2023	5	$159,688,251	$399	5.18%	1991
Ridgeline Market Lofts	Albany, NY	10/16/2023	3	$153,539,377	$384	7.15%	1988
Vista Mixed-Use Center	Atlanta, GA	07/09/2023	5	$166,155,882	$415	7.95%	1968
Cypress Market Lofts	Seattle, WA	03/07/2022	4	$137,542,770	$344	6.74%	2017
Alder Mixed-Use Center	Albuquerque, NM	01/19/2022	3	$105,045,766	$263	5.54%	1970
Heritage Market Lofts	Milwaukee, WI	01/26/2024	4	$72,294,624	$181	7.42%	2007
Valley Station District	Nashville, TN	04/10/2026	6	$67,483,987	$169	5.98%	1966
Jasper Market Lofts	Cleveland, OH	05/11/2025	5	$172,645,147	$432	5.43%	1976
Hollis Mixed-Use Center	Dallas, TX	12/18/2023	5	$100,480,835	$251	6.51%	1976
Hollis Village	Philadelphia, PA	12/24/2025	4	$207,221,292	$518	5.18%	2001
Thornton Village	Albany, NY	04/26/2024	5	$121,140,990	$303	7.34%	2002
Bayview Market Lofts	Aurora, CO	02/07/2023	4	$191,609,110	$479	7.50%	2007
Maple Market Lofts	Boston, MA	03/30/2025	3	$148,471,369	$371	5.81%	2017
Ridgeline Station District	Oklahoma City, OK	08/02/2022	3	$88,958,150	$222	6.00%	2007
Lockwood Village	Charlotte, NC	08/10/2024	2	$111,579,688	$279	5.45%	1978
Aspen Market Lofts	Phoenix, AZ	08/29/2025	3	$132,625,662	$332	5.64%	1969
Westgate Village	New Orleans, LA	05/12/2026	3	$190,652,085	$477	5.74%	2010
Mesa Village	Pittsburgh, PA	09/05/2022	2	$110,952,953	$277	5.92%	2021
Sterling Market Lofts	Portland, OR	06/25/2022	5	$81,475,916	$204	7.32%	1981
Onyx Mixed-Use Center	Hartford, CT	12/27/2022	6	$120,531,074	$301	7.68%	2014
Wexford Market Lofts	Chicago, IL	01/23/2024	4	$169,952,638	$425	7.84%	1977
Marlow Market Lofts	Omaha, NE	06/19/2023	2	$88,275,760	$221	7.58%	1976

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Income and Expense Review

The property is walkable to transit, with 45 structured parking spaces shared between uses. Debt service coverage ratio was 5.95x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.31% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $244,000 or approximately 28.38 per square foot, with real estate taxes representing the largest line item.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 24 structured parking spaces shared between uses. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Management fees are calculated at 3.0% of collected revenue and are included in operating expenses.

Financial Analysis

Effective gross income for the trailing period was $347,000, representing a 6.2% increase over the prior year. The property is walkable to transit, with 33 structured parking spaces shared between uses. Debt service coverage ratio was 6.91x on a trailing basis against a covenant minimum of 1.20x. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $380,000 or approximately 14.48 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Debt service coverage ratio was 7.00x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 36 structured parking spaces shared between uses. Effective gross income for the trailing period was $297,000, representing a 7.9% increase over the prior year.

Operating Performance

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 35 structured parking spaces shared between uses. Debt service coverage ratio was 6.27x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $193,000, representing a 9.7% increase over the prior year. Operating expenses totaled $108,000 or approximately 33.56 per square foot, with real estate taxes representing the largest line item.

The property is walkable to transit, with 8 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.44% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Harbor Village	2.1 mi	1993	Suite	$23.80	88.5%	1 mo. free
Verde Mixed-Use Center	3.8 mi	2003	2BR	$22.65	89.9%	None
Windmill Market Lofts	0.7 mi	1977	Unit	$21.82	97.3%	$500
Nautilus Village	2.0 mi	2002	Studio	$24.12	97.8%	$500
Orchard Village	2.3 mi	1998	Unit	$22.98	87.8%	None
Elmhurst Market Lofts	1.7 mi	2011	Suite	$24.67	90.7%	1 mo. free
Valley Station District	0.9 mi	1993	Inline	$22.67	92.6%	None
Saddlebrook Market Lofts	0.2 mi	2021	Suite	$20.12	94.9%	$500
Prairie Village	0.6 mi	1980	Suite	$24.62	91.8%	$500
Upland Village	3.7 mi	1975	Inline	$23.49	94.8%	None
Amberly Village	4.1 mi	1987	2BR	$26.28	87.5%	None
Alder Market Lofts	2.6 mi	2002	Unit	$24.92	93.3%	None
Nautilus Station District	3.8 mi	1984	Inline	$24.83	89.7%	None
Driftwood Market Lofts	1.8 mi	2001	Studio	$19.83	90.6%	$500
Redwood Station District	3.3 mi	1994	Suite	$26.08	96.8%	None
Lakeshore Market Lofts	2.6 mi	1988	Suite	$19.13	90.8%	$500
Windmill Mixed-Use Center	4.7 mi	2007	Suite	$22.61	93.7%	None
Osprey Station District	4.3 mi	1980	Suite	$24.65	96.0%	1 mo. free
Dover Mixed-Use Center	4.8 mi	1984	Suite	$23.95	93.2%	$500
Pinecrest Village	2.4 mi	1984	Inline	$20.03	89.9%	None
Cypress Market Lofts	3.6 mi	1988	Suite	$21.66	91.9%	None
Tidewater Station District	2.9 mi	2005	Unit	$24.66	93.9%	1 mo. free
Meridian Village	1.7 mi	1977	Studio	$22.98	95.7%	$500
Indigo Station District	2.0 mi	1972	Unit	$18.75	87.2%	$500
Calloway Mixed-Use Center	4.4 mi	1998	Studio	$23.51	97.0%	1 mo. free
Ironwood Mixed-Use Center	1.4 mi	2001	Bay	$24.88	93.8%	$500
Zephyr Station District	2.0 mi	2009	Studio	$26.13	96.0%	None
Wexford Market Lofts	4.0 mi	2007	Bay	$23.29	93.7%	None
Jasper Market Lofts	3.6 mi	2007	Inline	$19.24	94.5%	$500
Stonebridge Market Lofts	2.9 mi	2001	Studio	$22.59	92.1%	$500
Nautilus Station District	1.5 mi	1996	Unit	$23.99	93.9%	1 mo. free
Sterling Market Lofts	2.3 mi	1997	2BR	$25.40	91.1%	None
Lockwood Station District	2.1 mi	2013	2BR	$21.14	95.5%	None
Ivy Mixed-Use Center	2.9 mi	2022	2BR	$18.83	92.5%	None
Laurel Mixed-Use Center	5.0 mi	2001	Studio	$25.10	86.4%	1 mo. free
Quarry Market Lofts	1.6 mi	1991	1BR	$19.06	87.4%	1 mo. free
Copper Market Lofts	4.2 mi	2014	Suite	$24.25	91.0%	None
Crestline Market Lofts	1.2 mi	1973	Suite	$23.21	91.9%	1 mo. free
Oakmont Mixed-Use Center	0.5 mi	2012	2BR	$24.19	96.2%	$500
Driftwood Station District	1.0 mi	1979	Unit	$23.39	93.4%	None

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Demographics and Employment

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Magnolia Market Lofts is located in Buffalo, NY, a market that has recorded 10.6% population growth over the last five years. Market vacancy for comparable Mixed-Use product stands at 13.9%, down from 7.0% two years ago. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 7-mile radius of the property is approximately $10,000 and has grown 13.6% annually.

The Buffalo Mixed-Use market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Magnolia Market Lofts is located in Buffalo, NY, a market that has recorded 8.0% population growth over the last five years. Rent growth in the submarket has averaged 7.9% annually over the past 4 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 21 curb cuts and the property is served by municipal water and sanitary sewer.

The site contains approximately 11.11 acres and is generally level with frontage along Peachtree Avenue. Access to the site is provided by 22 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Demographics and Employment

Rent growth in the submarket has averaged 3.7% annually over the past 9 years. Market vacancy for comparable Mixed-Use product stands at 9.1%, down from 4.1% two years ago. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Median household income within a 3-mile radius of the property is approximately $348,000 and has grown 10.5% annually. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 14 structured parking spaces shared between uses.

Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 7.36% and 7.36%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The property is walkable to transit, with 46 structured parking spaces shared between uses. Market vacancy for comparable Mixed-Use product stands at 7.4%, down from 3.5% two years ago. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Site Description

The site contains approximately 45.45 acres and is generally level with frontage along Peachtree Avenue. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 12 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 43.43 acres and is generally level with frontage along Peachtree Avenue. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Supply and Demand

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. The Buffalo Mixed-Use market has experienced absorption of 1700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 9-mile radius of the property is approximately $243,000 and has grown 7.0% annually. Market vacancy for comparable Mixed-Use product stands at 8.8%, down from 7.7% two years ago.

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Construction Details

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 10 years and are in average to good condition. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Magnolia Market Lofts was originally constructed in 1998 and consists of 400,000 SF in a building of 47 stories.

Building Systems

The property is walkable to transit, with 44 structured parking spaces shared between uses. Magnolia Market Lofts was originally constructed in 1998 and consists of 400,000 SF in a building of 28 stories. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Mechanical systems include rooftop package units and central plant equipment of varying age. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 30 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Improvements Description

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 7 structured parking spaces shared between uses. The roof is a 10-year membrane system with an estimated remaining useful life of 10 years.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 42 structured parking spaces shared between uses. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Magnolia Market Lofts was originally constructed in 1998 and consists of 400,000 SF in a building of 22 stories.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Newport Station District	Detroit, MI	11/01/2023	3	$155,165,440	$388	7.49%	2015
Alder Market Lofts	Tampa, FL	10/18/2022	5	$93,643,638	$234	5.65%	1966
Vista Market Lofts	Louisville, KY	07/11/2023	4	$185,870,787	$465	5.68%	1967
Lantern Village	Sacramento, CA	03/27/2025	3	$206,122,556	$515	6.34%	1996
Cedar Village	Columbus, OH	01/06/2023	5	$76,060,481	$190	7.64%	2022
Magnolia Mixed-Use Center	Madison, WI	01/30/2023	3	$70,515,258	$176	5.29%	2019
Cedar Village	Omaha, NE	09/18/2024	3	$152,793,941	$382	5.79%	1978
Indigo Station District	Buffalo, NY	07/24/2026	3	$151,753,169	$379	5.78%	1967
Magnolia Village	Memphis, TN	10/03/2022	5	$129,061,819	$323	7.80%	1988
Hawthorne Market Lofts	Aurora, CO	06/10/2025	2	$61,490,677	$154	6.15%	2014
Westgate Station District	Austin, TX	05/01/2023	5	$120,991,679	$302	6.19%	1978
Summit Mixed-Use Center	Cincinnati, OH	11/03/2024	5	$102,183,573	$255	6.11%	1976
Vista Station District	Minneapolis, MN	12/13/2022	3	$99,082,873	$248	6.36%	1992
Pinecrest Station District	Philadelphia, PA	03/02/2023	4	$198,027,942	$495	8.02%	1980
Indigo Mixed-Use Center	Tampa, FL	12/07/2022	3	$171,567,719	$429	6.82%	1980
Summit Market Lofts	Boston, MA	10/30/2023	4	$93,491,816	$234	6.86%	2003
Redwood Station District	Salt Lake City, UT	05/03/2023	3	$121,880,229	$305	6.60%	2014
Parkview Mixed-Use Center	Phoenix, AZ	12/21/2024	5	$205,013,702	$513	8.13%	2005
Summit Village	San Antonio, TX	08/18/2023	4	$133,663,688	$334	5.51%	1981
Eastlake Village	Albuquerque, NM	07/04/2022	6	$209,478,674	$524	8.18%	1970
Everett Mixed-Use Center	Grand Rapids, MI	07/19/2024	3	$115,609,406	$289	7.40%	1980
Jasper Village	Milwaukee, WI	05/11/2024	5	$188,396,694	$471	5.20%	1965
Windmill Market Lofts	Nashville, TN	08/22/2026	5	$149,229,910	$373	8.00%	2004
Newport Market Lofts	Louisville, KY	02/12/2023	4	$65,319,571	$163	7.87%	1984
Northgate Mixed-Use Center	Houston, TX	02/21/2022	3	$158,780,328	$397	5.23%	2000
Windmill Market Lofts	Boston, MA	06/22/2025	2	$204,488,738	$511	6.56%	2017
Aspen Village	Des Moines, IA	11/11/2025	6	$65,019,656	$163	7.75%	2003
Northgate Mixed-Use Center	Birmingham, AL	10/27/2025	5	$199,568,374	$499	7.99%	1970
Dunmore Market Lofts	Milwaukee, WI	03/26/2025	3	$86,153,080	$215	5.69%	1975
Wexford Market Lofts	Las Vegas, NV	07/07/2024	4	$165,699,622	$414	7.40%	1992
Magnolia Market Lofts	Pittsburgh, PA	08/05/2022	2	$171,488,455	$429	5.37%	1985
Parkview Mixed-Use Center	Columbus, OH	08/04/2025	2	$205,829,978	$515	5.28%	1998
Sable Market Lofts	Detroit, MI	11/06/2024	5	$203,998,320	$510	7.45%	2011
Cobalt Station District	San Diego, CA	01/16/2022	6	$181,283,227	$453	8.10%	1970
Nautilus Mixed-Use Center	Indianapolis, IN	07/02/2022	2	$161,007,903	$403	5.12%	1994
Lakeshore Village	Pittsburgh, PA	08/03/2022	3	$160,266,951	$401	7.48%	2018
Canyon Market Lofts	Grand Rapids, MI	09/05/2025	6	$115,672,352	$289	6.34%	1987
Cedar Market Lofts	Indianapolis, IN	09/05/2024	4	$172,820,640	$432	8.10%	1968
Quincy Market Lofts	Memphis, TN	05/11/2023	4	$155,424,255	$389	6.71%	1977
Ironwood Village	St. Louis, MO	05/17/2026	5	$160,873,445	$402	6.56%	2020
Newport Station District	Sacramento, CA	01/12/2025	4	$82,186,238	$205	7.81%	2015
Glenview Market Lofts	Albuquerque, NM	07/23/2026	3	$202,041,304	$505	5.94%	1999

Report generated 08/02/2020. Figures are unaudited and subject to change.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Magnolia Market Lofts and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on July 12, 2020.

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Jerome Coleman, MAI

Calloway & Reid Valuation Group

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